

The Three Buckets

Sorting every step of a process into value, necessary waste, and pure waste.

The Lean Idea

The foundational idea of Lean is simple. Anything in a process that the customer would not pay for is waste. An experienced practitioner walks into any workspace and mentally sorts everything into three buckets. This single lens is how you start seeing a process the way Lean sees it.

The Three Buckets

Value is a step the customer would gladly pay for, like a surgeon making an incision or a barista making coffee. Necessary waste is something the customer would not pay for but the business cannot avoid, like a compliance form or backing up data. Pure waste benefits no one and exists only from poor design, like hunting for a misplaced file or redoing defective work.

Why It Matters

In twenty years of consulting, roughly 5 percent of activity is true value, about 30 percent is necessary waste, and about 65 percent is pure waste. That shocking number is why Lean produces dramatic results. Once you learn what waste is, you cannot unsee it, and that is the doorway to improvement.

Remember this

About 65 percent of most processes is pure waste hiding in plain sight.